

Disrupted Times Covid-19

Inflation concerns intensify as cost of energy soars

Rising natural gas prices have helped push eurozone inflation to 13-year high



Inflation is heating up on the back of the UK and EU's natural gas crunch © Matthew Brown/AP

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Published OCT 1 2021

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Good evening from chilly Cambridge, where autumn has kicked in and [soaring gas prices](#) have consumers considering when (and how high) to switch on their central heating.

The UK and Europe's natural gas crunch is poised to intensify after Beijing ordered Chinese state-backed companies to [secure their energy supplies](#) at any cost.

Energy prices were also a factor in [eurozone inflation](#) hitting 3.4 per cent in September — the highest for 13 years — piling pressure on the European Central Bank to scale back its monetary stimulus. [Germany's inflation](#) hit 4.1 per cent in September — its highest level for 29 years.

Yet surging gas prices will [soon reverse course](#), according to Mike Fulwood, a senior research fellow at the Oxford Institute for Energy Studies, who argues that it would require a longer and colder winter than last year to see prices sustained above current levels.

Meanwhile, the [price of Brent crude oil](#) touched \$80 per barrel [this week](#) for the first time in three years and the UK's [panic buying](#) of petrol has led to fears of the country running out of fuel.

Latest news

US Covid-19 cases and hospitalisations [eased in September](#) — a potentially encouraging trend heading into the colder months

A key [US inflation measure](#) remained at its highest level in about three decades, while consumer spending rebounded last month

Australia will allow vaccinated citizens to quarantine at home from as early as November, marking the first big [relaxation of its border restrictions](#)

For up-to-the-minute coronavirus updates, visit our [live blog](#).

Need to know: the economy

US Congressional Democrats have delayed [a make-or-break](#) vote on Joe Biden's flagship **\$1.3tn infrastructure package**, dealing a blow to the White House as divisions within the president's party threaten to torpedo his legislative agenda. Biden's **\$3.5tn social safety net** and climate change bill also [remains in doubt](#) because a group of moderate Democrats object to its size and some key details.

The dollar touched a [12-month high](#) against major currencies as traders bet that **persistent inflation** would drive the US [Federal Reserve](#) closer to its first pandemic-era interest rate rise.

Latest for the UK and Europe

The seasonal gloom is [expected to deteriorate](#) further with British business leaders warning that the UK is facing an “**autumn storm**” of rising taxes, escalating costs, labour shortages and supply disruption, as the UK government's Covid-19 [support schemes end](#).

While the **UK's economy** [grew faster](#) than projected in the second quarter, with GDP rising 5.5 per cent in the second quarter after an initial estimate of 4.8 per cent, the supply chain is hamstrung by a lack of lorry drivers.

In response, supermarkets and big retailers are **offering salary rises** and “[golden hello](#)” [payments](#) to drivers, making it increasingly tough for hauliers and food suppliers to cling on to staff.

The driver shortage knocked nearly [one-fifth off shares](#) in **AO World** on Friday after the electronics retailer said supply chain disruptions were holding it back.

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Global latest

The Financial Times has waved a sad goodbye to **Philip Stephens**, whose [final column](#) reflects on how global policymakers' challenges have evolved over the past quarter of a century. When his column first appeared in the FT, "the world belonged to liberalism", he writes. Now, western democracies are threatened by a lack of public trust.

Vietnam has abandoned its **zero-Covid strategy** after lockdown led to a [record drop in GDP](#), while both Mexico and Colombia have [raised interest rates](#) in a bid to **calm inflation**.

Need to know: business

Capital markets have [never been so hot](#), with companies across the globe tapping investors for **more than \$1tn** worth of share sales and **nearly \$4tn** of bond issuance.

On the subject of bonds, distressed debt funds have flocked to bonds issued by **Evergrande**, betting that Beijing will rescue the Chinese property developer to avoid [fears of contagion](#) in the real estate market and the [global financial system](#).

If Evergrande's executives are keen to drown their sorrows, their custom may be appreciated at **JD Wetherspoon**, which reported a [record annual loss](#) of £154.7m. Tim Martin, founder and chair of the pub chain, has blamed the loss on lockdowns and called the UK government's Covid-19 measures "draconian".

Science round up

Drugmaker **Merck** said it would ask US regulators to authorise the [first antiviral pill](#) to treat Covid-19 after a late-stage clinical trial showed that the drug cut the risk of [hospitalisation or death in half](#). If the US Food and Drug Administration authorises the drug called **Molnupiravir**, it would be the first treatment of its kind, a twice-daily pill prescribed for five days to patients who have recently been diagnosed with Covid-19.

The **hole in the ozone layer** this year has [widened](#) to among the largest on record, according to data from EU observation programme Copernicus. The hole above Antarctica stretched across 24m square kilometres in September, rivalling the 27m sq km recorded in 2006.

The Covid-19 pandemic has triggered the largest [fall in life expectancy](#) since the second world war in most developed nations, with **American men suffering the most severely**. Research found that 27 of 29 countries, spanning most of Europe, the US and Chile, experienced **reductions in life expectancy** in 2020 at a scale that wiped out years of progress on mortality.

Covid cases and vaccinations

Total global cases: **234.7m**

Total doses given: **6.25bn**

Get the latest worldwide picture with our [vaccine tracker](#)

And finally...some hot stuff

A **dramatic volcanic eruption** on La Palma, one of the Canary Islands off the coast of north-west Africa, is [attracting “lava chasers”](#). While volcanoes are a thrilling (and potentially dangerous) draw, whether they should become a tourist attraction is being hotly debated.

Debate has, err, erupted over the growing phenomenon of volcano tourism © Nacho Doce/Reuters

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